



exceeding US\$100 million, in established businesses with experienced management, predictable financial performance, and a clear path to an initial public offering or strategic acquisition.

For founders, Gaurav's message is clear: attracting investment requires not only building a fundable business but also identifying investors whose objectives align with the company's stage of growth, capital requirements, and long-term strategy.

Structuring the right deal

Securing investment is not just about valuation. The structure of a transaction can be equally important in determining how risk, ownership, and future value are shared between founders and investors. While each transaction is negotiated differently, most semiconductor deals broadly follow four structures:

The first is a **share purchase agreement (SPA)**, under which an investor acquires equity from existing shareholders, resulting in either a majority or complete acquisition.

Growth-stage companies typically raise capital through **primary and secondary funding rounds**. Primary funding injects fresh capital into the business, while secondary funding allows early investors or angel shareholders to partially exit. "This enables companies to raise growth capital while also providing liquidity to early shareholders," explains Gaurav.

Where buyers and sellers differ on valuation, **earn-out structures** are often used. Under this model, part of the purchase consideration is linked to future business milestones, allowing both parties to share the upside while reducing immediate risk.

Another approach, increasingly common in cross-border semiconductor transactions, is a **joint venture followed by acquisition**. Rather than acquiring a company outright, international firms often begin with a joint venture to evaluate strategic

fit before progressing to a full acquisition.

Why deals fall apart

Despite growing investor interest, Gaurav cautions that semiconductor transactions often fail because companies underestimate the complexities involved.

One major challenge is **technology transfer**. As semiconductors become increasingly strategic, governments are tightening controls on the movement of advanced technologies. Restrictions imposed by countries such as the US illustrate how geopolitical developments can quickly reshape access to critical technologies. Gaurav, therefore, urges Indian companies to build indigenous IP rather than relying solely on overseas technology transfers.

Regulatory approvals can also delay transactions. India's Press Note 3 requires additional scrutiny for investments from countries sharing land borders with India. Given China's significant role in the global semiconductor supply chain, deals involving Chinese ownership or capital often require longer approval timelines, making early regulatory planning essential.

Valuation remains another common hurdle. Gaurav notes that founders often benchmark their businesses against listed semiconductor companies, whereas investors value private companies differently because of their higher execution risk. "Founders naturally focus on the future potential of their businesses, while investors price the risks that still need to be overcome."

Retaining talent is equally critical, particularly for semiconductor design companies.

"If key engineers leave immediately after an acquisition, much of the value acquired disappears with them. As a result, investors closely examine employee retention plans, long-term incentives, and post-acquisition integration strategies," Gaurav highlights.

Another important consideration is **investment horizon**. Fabrication and OSAT projects often require patient capital over many years, making them better suited to infrastructure funds, government-backed investors, and family offices than conventional private equity funds with shorter investment cycles.

Companies receiving support under government schemes must also ensure continued compliance after an acquisition, as production and investment commitments transfer to the new owner. Gaurav says this makes thorough due diligence, appropriate indemnities, and escrow arrangements essential components of semiconductor transactions.

Looking ahead...

India has moved beyond being viewed simply as a low-cost engineering destination. Government initiatives, increasing domestic demand, and closer international collaboration have created favourable conditions for long-term semiconductor investment.

However, Gaurav notes that there is no universal model for entering the market. Companies may choose joint ventures (JVs), greenfield investments, or technology partnerships that suit their objectives and time-to-market.

Furthermore, **India's opportunity is structural rather than cyclical**. While individual technology segments may experience short-term corrections, demand for semiconductor design and manufacturing is expected to remain strong.

Moreover, although leading-edge fabrication will require sustained investment over many years, India's design and product ecosystem appears well positioned for long-term growth. **EFY**

The article is based on inputs from a webinar organised by the India Electronics and Semiconductor Association (IESA) titled 'M&A and Growth Capital Opportunities in the Indian Semiconductor Sector,' which was presented by Gaurav Asthana, Managing Partner at Transjovan Capital. The webinar was transcribed by Shubha Mitra, Electronics For You.